

INGA: ING Groep N.V.

Value Floor · Growth Engine · Elite Capital Returns

Mom 12M	LTM P/E	NTM P/E	ROE (LTM)
+42.0%	9.35x	10.83x	16.6%
Price return	Deep value range	Modest expansion	Elite efficiency
Value Rank	Growth Rank	EPS CAGR 2Y Fwd	Div. Yield
75/100	60/100	+14.7%	4.4%
Top 20% in EU universe	Top 20% in EU universe	Forward estimate	+15.3% DPS YoY

ING GROEP N.V. — A GARP CASE STUDY

Can a legacy European banking giant secretly double as a high-efficiency growth compounder? When macro analysts look at financial institutions, they often bucket them into pure income or deep-value plays. But the quantitative profile of ING Groep N.V. (INGA) completely blurs the lines between Value and Growth. The market is starting to notice, driving a **+42.0% price return over the past year** — yet the fundamental data suggests this is far from a standard value trap. Our models place INGA in the **top 20% of the European universe** on both Value (Rank 75/100) and Growth (Rank 60/100) dimensions — a balanced GARP profile.

1 · The Value Floor

INGA's valuation anchors provide a meaningful downside buffer rarely found in a franchise of this quality.

- **Deep Value Entry:** LTM P/E of **9.35x** — firmly in deep-value territory for a bank generating a 16.6% ROE.
- **Re-Rating Runway:** NTM P/E of **10.83x** — modest expansion expected as earnings grow into the multiple.
- **Book Value Support:** P/BV of **1.51x** LTM — reasonable for a franchise generating consistent double-digit returns on equity.
- **Growing Income Floor:** Dividend Yield of **4.4%** with **+15.3% DPS growth** forecast for FY2026.

2 · The Growth Engine

The growth credentials are exceptional for a €65B+ market cap financial institution.

- **Proven Track Record:** Historical 3-Year EPS CAGR of **+28.9%** — a compounding history that demands attention.
- **Sustained Momentum:** Forward 2-Year EPS CAGR of **+14.7%** — growth runway remains wide open even from a high base.
- **Near-Term Catalyst:** FY2026E Normalised EPS **+13.2%** — near-term momentum intact.
- **Elite Capital Returns:** ROE of **16.6%** — a level most European banking peers simply cannot match, justifying a structural premium.

3 · The GARP Thesis — Balanced Value & Growth Profile

When a company combines single-digit earnings multiples with double-digit forward EPS growth and a mid-teens Return on Equity, the traditional distinction between value and growth completely breaks down. This is textbook GARP.

■ **GARP Profile:** INGA scores in the top 20% of the European universe on both Value and Growth dimensions — neither rank individually crosses the top-tier threshold (≥ 80), but the combination is uncommon for a large-cap financial.

■ **Risk-Adjusted Edge:** This combination historically signals strong risk-adjusted returns over 12–24 month horizons — downside protected by valuation, upside driven by earnings.

■ **Quantitative Profile:** Value Rank **75/100** and Growth Rank **60/100** — both within the top 20% of the European universe, representing a well-rounded risk-adjusted setup rather than a pure factor play.

The Bottom Line

ING's profile is rare in European banking: it scores in the top 20% of the European universe on both Value (Rank 75/100) and Growth (Rank 60/100) dimensions — without either reaching the top-tier threshold individually. This balanced GARP positioning — depressed multiples, rich dividend yield, exceptional EPS CAGR, and elite ROE — historically signals strong risk-adjusted returns over 12–24 month horizons.

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